

After congratulating Arjuna, Dronacharya told the other students that they failed the *pretest* and hence were not ready to attempt hitting the target. Archery is all about being singularly focused on the target. If the archer can't fixate on just the target, success is likely to be elusive. That was Dronacharya's lesson for the day for his students.

Well, that's an interesting tale, but what does this passage from the *Mahabharata* have to do with being a Dhandho investor?

Let us examine the investing landscape for a minute. There are well over a hundred thousand publicly traded companies on dozens of exchanges around the world. In addition, at any given time, there are hundreds of thousands of privately held businesses around the globe that are also available to be bought or sold. Add to this the tens of thousands of fixed-income securities, currencies, commodities, real estate, put and call options, mutual funds, hedge funds, treasuries—the list is endless. The range and sheer number of investment targets available to any investor are daunting.

The Dhandho investor only invests in simple, well-understood businesses. That requirement alone likely eliminates 99 percent of possible investment alternatives. Now, like Arjuna, we must be down to only reading up on simple, well-understood businesses. We must remain squarely in our circle of competence and not even be aware of all the noise outside the circle. Within the circle, read pertinent books, publications, company reports, industry periodicals, and so on. Every once in a while something about a business will jump out at you. If there appears to be some meat on the bone and you sense that the business might be underpriced compared to its intrinsic value, it is time to hone in. At that point, you need to become ultra-focused like Arjuna. All you should see is this one business. Shut everything else out. Nothing else exists on the planet. Drill down and see if it truly is an exceptional investment opportunity. Ask yourself if it fits in as a Dhandho buy. Most times it won't be as cheap as you'd like or something will bother you and you'll take a pass. In that case, go back to scanning the radar within your narrow circle. Again, when something jumps out, focus intently on it until it's either rejected as an investment or passes all the Dhandho filters and you make the investment.